

Key finding 4

The market is ready for the next generation of absence/ leave management services.

Our research shows that the market is now reaching the next horizon of absence and leave management services. But stakeholders are questioning whether current experiences are ready. Rising demand has made paid leave a core four benefit, and the leave types being offered are rapidly multiplying. While employers feel confident about the changes ahead, brokers don't share their optimism, particularly relative to organizational readiness to manage the regulatory and legal complexity.

Carriers must confirm that their offerings and operations are ready to deliver an integrated, frictionless experience, as brokers and employers are adopting a "show me what you have" posture in their conversations with carriers. Our research shows that the growing complexity of the regulatory environment, limited internal resources, the need to improve the customer experience and the expanding number of leave types are driving employer likelihood to outsource more leave management services.

The spike in demand for leave management: Leave management demand is rapidly growing. More businesses are offering additional types of leaves, and 38% of small employers are considering adding absence management. As one broker told us, "I've seen more leave of absence cases in the last 12 months than I've seen in the prior nine years combined."

Both employees and employers indicate strong interest in paid family or medical leave.

92%

of employees would be interested in paid family or medical leave.

38%

of small employers (10–99 employees) are considering offering absence management.

46%

of employers are considering offering company-sponsored paid family/medical leave.